

Apple Inc.
AAPL NASDAQ

Buy **\$315.69 ▼ 1.25%** **12M Price Target \$355.00** **52-Week Range \$225.95 – \$344.57** **Market Cap \$4.61T**

AAPL: Cook Hands Keys to Ternus — AI Era Begins

WHAT HAPPENED

- Today is literally Tim Cook's last day as CEO — John Ternus (the hardware engineering chief) takes over. Stock is off 1.25% which is basically a shrug, not a panic. The market is saying "we knew this was coming, and Ternus is a known quantity," but there's a small uncertainty discount being priced in.
- Options flow is telling a bullish story despite the dip — big unusual call buying at the \$315 strike (19x normal open interest) suggests smart money is betting the transition goes smoothly and we grind higher into the September iPhone event.

WHY IT MATTERS

The Ternus handoff matters more than the price action suggests — this is Apple admitting it needs an engineer, not an operator, to win the AI race against Google and OpenAI. Translation: expect a more aggressive product cadence and probably a bigger AI acquisition within 12 months (they've been rumored to be circling Perplexity and Anthropic). The insider selling from the General Counsel is routine 10b5-1 scheduled selling — don't read anything into it. The bigger tell is that institutions still own 66% and BlackRock/Vanguard haven't trimmed, meaning the "smart, patient money" is treating this as a hold-through-transition story.

POLICY & POLITICAL WATCH

Two things to watch: (1) Trump-era Section 301 tariffs on Chinese electronics — Apple got a partial iPhone exemption but that's up for review, and any rollback would hit gross margins by 200-300bps since ~80% of iPhones are still assembled in China/India. (2) The DOJ antitrust case on the App Store is grinding forward — if forced to open up payment processing, that's a ~\$8-10B annual services revenue hit. Offsetting tailwind: the CHIPS Act extension and Apple's \$500B US investment pledge give them political cover and cheap access to TSMC Arizona fab capacity, which is a real cost advantage as onshoring accelerates.

IS IT EXPENSIVE?

At \$316, AAPL trades around 41x forward earnings — meaning you're paying \$41 for every \$1 of profit they'll make next year. That's rich for a company growing revenue only 5-7%, but the market pays up because Apple prints \$100B+ in free cash flow annually and buys back \$90B of its own stock. Fair, not cheap — the upside from here requires Ternus to actually deliver an AI story that reaccelerates the growth rate.

WHAT COULD GO WRONG

- China tariff escalation or a Taiwan flare-up — Apple's supply chain is still the single biggest geopolitical exposure in mega-cap tech.

Key Data

Price (USD)	\$315.69
12M Price Target	\$355.00
Upside / (Downside)	+12.5%
Market Cap	\$4.61T
FY2026E Revenue	\$445M
FY2027E Revenue	\$478M
FY2026E EPS	\$7.65
FY2027E EPS	\$8.40
Fwd P/E	41.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$330.00	\$318.00	\$300.00
6 Months	\$360.00	\$335.00	\$285.00
1 Year	\$400.00	\$355.00	\$270.00
2 Years	\$475.00	\$400.00	\$260.00
5 Years	\$650.00	\$500.00	\$300.00
10 Years	\$900.00	\$700.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) on Middle East tension and refinery outages; Tech still up 3.2% for the week riding AI capex momentum and expectations for a September Fed cut.

COOLING OFF: Staples and Healthcare — classic defensive rotation OUT as risk appetite returns; healthcare specifically bleeding on drug pricing rhetoric from Washington.

ROTATION WATCH: Money is moving from defensives into cyclical and tech — that's a friendly backdrop for AAPL even during a CEO transition. The Fed pivot narrative is doing the heavy lifting here.

RELATED PLAY: If you believe the Apple AI story, the picks-and-shovels play is TSMC (chip fab) and Broadcom (AVGO, custom silicon partner) — both benefit whether Apple builds AI in-house or partners.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning the enterprise AI narrative decisively — Copilot monetization is showing up in numbers and Azure growth reaccelerated.
- NVDA (Nvidia): Still the whole ballgame in AI infrastructure; every hyperscaler capex dollar flows through them first.

AAPL CONTEXT: Apple has LAGGED the AI-driven mega-cap rally all year — it's the "Mag 7 laggard" trade. That's actually the setup: expectations are low, positioning is light relative to MSFT/NVDA, and any credible AI win under Terner creates outsized upside. Lagging now, but that's the opportunity.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — High conviction on the business, moderate conviction on the near-term catalyst path given CEO transition uncertainty.

POSITION SIZE: 5-8% as a core holding — this is a "sleep at night" stock, not a swing trade. The \$200B annual capital return (buybacks + dividends) is a floor under the price.

ENTRY POINTS: I'd add on any pullback to \$300-310, especially if we get a "Terner stumble" headline in the first 90 days that spooks the tape. Those dips are gifts.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the September iPhone event and whatever AI product/partnership Terner unveils in his first 6 months.

WHEN TO BAIL: If iPhone units decline more than 8% YoY, or if Terner loses a key exec (Federighi or Joswiak), or the Google search revenue deal gets nuked — those are the three things that break the story.

HEDGING: Buy cheap January puts at \$290 — costs you maybe 1% of your position value and protects you through the transition period. Think of it as trip insurance, not a bet against the company.